

are falling, even a zero interest rate gives investors a positive rate of return. And it isn't even taxable.

WHO WILL HAVE THE LAST LAUGH?

When Richard Nixon cut the dollar's link to gold, there were many people who forecast doom and gloom. No nation had ever run a successful paper money system. How likely was it that the United States would succeed where all had failed before it? How much had the human character improved over the years? Would central bankers now be above temptation and mistake? Free from both error and sin?

It is hard to ask the question without laughing. But for a long time the laugh was on the doubters. Yes, the cynics had the first laugh. Inflation rates rose as the United States did as the cynics forecast. Government spending rose. So did prices. The price of gold rose, too, as people anticipated the crack-up of the system.

But the system didn't crack. Inflation rose to 13 percent annually. And no further. Volcker stopped it. And then it was the believers who laughed.

But the question is: Who will have the last laugh? And here it is worth looking at what happened between 1971 and today.

When Richard Nixon implemented his new monetary system four decades ago, he set in motion a huge expansion in the world's supply of cash and credit. Gold was limited. Paper money was left to run wild. Ben Bernanke famously announced how it worked in a 2002 speech, entitled "Deflation: Making Sure It Doesn't Happen Here." He explained:

The U.S. government has a technology, called a printing press (or, today, its electronic equivalent), that allows it to produce as many U.S. dollars as it wishes at essentially no cost. By increasing the number of U.S. dollars in circulation, or even by credibly threatening to do so, the U.S. government can also reduce the value of a dollar in terms of goods and services, which is equivalent to raising the prices in dollars of those goods and services. We conclude that, under a paper money system, a